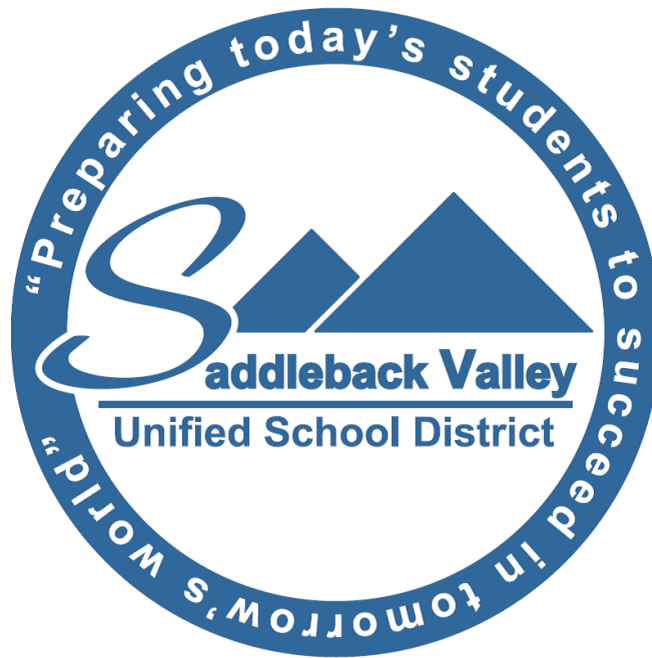


SADDLEBACK VALLEY UNIFIED SCHOOL DISTRICT



ANNUAL AND FIVE YEAR REPORTABLE FEES REPORT

Fiscal Year 2014-15

Prepared by:
Facilities Department

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I. INTRODUCTION

Sections 66001 and 66006 of the Government Code require that Saddleback Valley Unified School District ("School District") provide to the public information on impact fees received from new residential and commercial/industrial development to mitigate the impact of that new development on the school facilities of the School District ("Reportable Fees"). The School District currently collects statutory school fees ("Statutory School Fees") pursuant to Sections 17620 *et seq.* of the Education Code and Sections 65995 *et seq.* of the Government Code.

The School District is required to provide under the Government Code the following information on Reportable Fees for the prior fiscal year:

1. Amounts collected
2. Amount of interest earned
3. Amounts spent on projects to accommodate additional enrollment from new residential and commercial/industrial development

The Reportable Fees do not include special tax proceeds, proceeds of bonds, or letters of credit to secure payment of Reportable Fees at a future date. Further, the School District is required to confirm that Reportable Fees have not been levied, collected, or imposed for general revenue purposes.

Additionally, the School District is required to identify the following:

1. The proposed purposes to which Reportable Fees may be spent
2. The Reasonable Relationship between the Reportable Fees and the purpose to which they are to be spent
3. The funding sources and expected funding availability date for school facilities projects for which Reportable Fees are required

The following Annual and Five-Year Reports ("Reports") for the fiscal year ending June 30, 2015, include the information and proposed findings the School District intends to review and adopt in accordance with Sections 66001 and 66006 of the Government Code.

II. ANNUAL REPORT

In accordance with Government Code Section 66006(b)(1) and (2), the School District hereby presents the following information for fiscal year 2014/2015 with regard to annual Reportable Fees:

A. Description of the Type of Reportable Fees in the Account or Sub-Account(s) of the School District:

The Reportable Fees of the School District for fiscal year 2014/2015 consist of Statutory School Fees. Statutory School Facility Fees were collected by the School District from new residential and commercial/industrial development in the amounts as noted below.

B. Amount of the Reportable Fees:

The Reportable Fees were authorized to be levied on Development by the Board of Education ("Board") of the District at the time the Reportable Fees were adopted. As shown in the District's Fee Justification Study ("FJS"), the Reportable Fees only partially mitigate the impacts to the District caused by Development because the Reportable Fee amounts do not adequately fund the District's School Facilities needs resulting from additional Development within the District. (Government Code Section 66006(b) (1) (A)).

Statutory School Fees (Government Code Section 66006(b) (1) (B))

Level 1 Residential	\$3.36 per square foot
Level 1 Commercial/Industrial	\$0.54 per square foot
Level 1 Hotel/Motel	\$0.299 per square foot

From July 1, 2014 to June 30, 2015

The Governing Board ("Board") of Saddleback Valley Unified School District, on July 8, 2014, approved school fee justification studies and adopted Level 1 School Fees in the amounts listed above.

C. Beginning and Ending Balance, Reportable Fees Collected, Interest Earned and Expenditures of the Fund (Government Code Section 66006(b)(1)(C) and (D)):

<u>Table 1</u>	Reportable Fees
Beginning Balance (07/01/14)	\$10,736,436.99
Amount of Reportable Fees Collected	\$4,725,505.53
Interest Earned	\$52,291.46
Expenditures	(\$108,054.81)
Ending Balance (06/30/15):	\$15,406,179.17

D. Identification of Each District Project on Which Reportable Fees Were Expended Including the School Facilities Project (“Project”) Total and Percentage of the Project Cost that was Funded with Reportable Fees (Government Code Section 66006(b)(1)(E)):

Exhibit A¹ to this report identifies the amount of Reportable Fees expended for fiscal year 2014-2015, as well as the percentage of each improvement funded by Reportable Fees.

¹ Pursuant to Education Code 17620(a) (5), Level 1 Fees collected may also be spent on the following non-facility costs: the costs of conducting a School Facilities Needs Analysis and/or Fee Justification Study; and preparing the Annual and Five-Year Report. In addition, a school district may also retain “an amount not to exceed, in any fiscal year, three percent of the fees collected in that fiscal year. . . .” The three percent amount is for the reimbursement of administrative costs incurred in collecting the fee. For school districts that levy a Level 2 Fee, the three percent amount is calculated only on the amount of the Level 1 Fees that are collected.

E. **Identification of an Approximate Date by Which the Construction of Project(s) of the School District will Commence if the School District Determines That Sufficient Funds Have Been Collected to Complete Financing on an Incomplete Project of the School District, as Identified in Paragraph (2) of Subdivision (A) of Section 66001 of the Government Code, and the Project of the School District Remains Incomplete**

The School District has determined that at the close of fiscal year 2014/2015, Reportable Fees and other sources of funding were not sufficient to complete the financing of additional school facilities of the School District. See Table 4 for more information on planned construction projects.

F. **Description of Each Interfund Transfer or Loan Made From the Account or Fund, Including the Public Improvement on Which the Transferred or Loaned Fees Will be Expended, and in the Case of an Interfund Loan, the Date on Which the Loan Will be Repaid, and the Rate of Interest That the Account or Fund Will Receive on the Loan (Government Code Section 66006(b) (1) (G)):**

Interfund Transfers:

Table 2

Description of Project for Which Interfund Transfer was Used	Fund(s) to Which Reportable Fees Were Transferred	Amount Transferred
None		

Interfund Loans:

Table 3

Description of Project for Which Interfund Loan was Used	Fund(s) to Which Reportable Fees Were Loaned	Amount Loaned	Date Loan Repaid	Rate of Interest
None				

G. The Amount of Refunds Made Pursuant to Subdivision (e) of Section 66001 and Any Allocations Pursuant to Subdivision (f) of Section 660001.

No refunds of Reportable Fees were made pursuant to Section 66001 (e) and (f) of the Government Code in fiscal year 2014-2015.

FIVE YEAR REPORT

III. FIVE YEAR REPORT

In accordance with Government Code Section 66001, the School District provides the following information with respect to that portion of the account or sub-account(s) remaining unexpended, whether committed or uncommitted:

A. Identification of the Purpose for Which the Reportable Fees Will be Expended in the Future:

The purpose of the Reportable Fees imposed and collected on new residential and commercial/industrial development within the School District during fiscal year 2014-2015 is to fund additional school facilities required to serve the students of the District generated by new development within the School District. Specifically, the Reportable Fees will be used for the construction, expansion, and/or acquisition of additional school facilities, remodeling existing school facilities to accommodate new growth, furnishing, and equipping such school facilities, as well as adding additional classrooms, technology and acquiring and installing additional portable classrooms to accommodate students.

B. Demonstration of a Reasonable Relationship Between the Reportable Fees and the Purposes for Which They are Charged:

There is a roughly proportional, reasonable relationship between the new development upon which the Reportable Fees are charged and the need for additional school facilities by reason of the fact that additional students will be generated by additional development within the School District, and the School District does not have capacity in its existing school facilities to accommodate these new students. Furthermore, the Reportable Fees charged on new development will be used to fund school facilities that will be used to serve the students generated from the development. The Reportable Fees do not exceed the costs of providing such school facilities for the students generated from the development (Government Code Section (d) (1) (B)).

C. Identification of All Sources and Amounts of Funding Anticipated to Complete Financing of the Projected School Facilities Identified by the School District:

The following proposed projects are “projected projects” that are contingent upon construction of planned development areas. These projected projects are subject to change based on student growth, school site capacity, and available Statewide School Bond and local funding.

Table 4

Potential Funding Sources for Projected School Facility Projects

PROJECT	REPORTABLE FEES	MEASURE B	STATE SCHOOL BUILDING PROGRAM	REDEVELOPMENT PASS-THROUGH AGREEMENTS
Foothill Elementary Site Growth	TBD	N/A	TBD	N/A
Lake Forest Elementary Renovation	TBD	N/A	TBD	N/A
La Madera Elementary Site Growth	TBD	N/A	TBD	N/A
Portola Hills Elementary Site Growth	TBD	N/A	TBD	N/A
Portola Hills Elementary Renovation	TBD	N/A	TBD	N/A
Rancho Canada Elementary Site Growth	TBD	N/A	TBD	N/A
El Toro High School Site Growth	TBD	N/A	TBD	N/A
TOTAL	\$15,406,179.17	N/A	TBD	N/A

D. Identification of the Approximate Timeline on Which the Funding Referred to in Section III.C is Expected to be Deposited Into the Appropriate Account or Fund

Table 5

PROJECT	REPORTABLE FEES	MEASURE B	STATE SCHOOL BUILDING PROGRAM	REDEVELOPMENT PASS-THROUGH AGREEMENTS
Foothill Elementary Site Growth	AS RECEIVED	N/A	UNKNOWN	N/A
Lake Forest Elementary Renovation	AS RECEIVED	N/A	UNKNOWN	N/A
La Madera Elementary Site Growth	AS RECEIVED	N/A	UNKNOWN	N/A
Portola Hills Elementary Site Growth	AS RECEIVED	N/A	UNKNOWN	N/A
Portola Hills Elementary Renovation	AS RECEIVED	N/A	UNKNOWN	N/A
Rancho Canada Elementary Site Growth	AS RECEIVED	N/A	UNKNOWN	N/A
El Toro High School Site Growth	AS RECEIVED	N/A	UNKNOWN	N/A